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FORTUNE INSTITUTE OF INTERNATIONAL BUSINESS

Equity Valuation & Business Analysis

DABUR INDIA LIMITED

EQUITY RESEARCH REPORT

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Executive Summary

Dabur India Limited is one of the oldest and most trusted FMCG companies in India, with a legacy spanning over 140 years. Founded in 1884 by Dr. S.K. Burman in Kolkata, the company has grown from a small pharmacy into one of the country's largest consumer goods conglomerates. Dabur is best known for its flagship brands such as Dabur Chyawanprash, Dabur Honey, Dabur Red Toothpaste, Real Fruit Juice, Vatika, and Hajmola, which are household names across India and in several international markets.

This report presents a comprehensive equity research analysis of Dabur India Limited based on its historical standalone financial statements from FY2016 to FY2025 and projected financials for FY2026 through FY2030. The analysis covers the company's operational performance, profitability trends, balance sheet strength, cash flow dynamics, ratio analysis, and intrinsic valuation using Discounted Cash Flow (DCF), Economic Value Added (EVA), and Dividend Discount Models (DDM).

Investment Summary

Valuation Method	Intrinsic Value (INR)	CMP (INR)	Verdict
DCF (FCFF)	Rs. 86.6 per share	Rs. 525	OVERVALUED
EVA (FY2025)	EVA = Rs. 715.4 Cr.	--	Value Creating
H-Model (DDM)	Rs. 1,138 per share*	Rs. 525	UNDERVALUED*
Historical P/E Avg (~65x)	Fair Range: Rs. 490-525	Rs. 525	FAIRLY VALUED

The DCF analysis points to the stock being significantly overvalued at the current market price of Rs. 525, with the intrinsic value derived from free cash flows to the firm (FCFF) methodology working out to approximately Rs. 86.6 per share. The Dabur stock has historically commanded a premium valuation owing to brand strength and consumer loyalty. However, on a pure DCF basis, the stock appears to be pricing in a very optimistic future that current forecasted cash flows do not fully support.

Key Financial Highlights - FY2025 vs FY2024

Metric	FY2025 (Actual)	FY2024 (Actual)	YoY Change
Revenue (INR Cr.)	9,070.71	9,135.60	-0.7%
Operating Profit (INR Cr.)	2,158.85	2,256.70	-4.3%
EBITDA Margin	23.9%	24.7%	-80 bps
Net Profit (INR Cr.)	1,403.22	1,509.21	-7.0%
EPS (INR)	7.92	8.52	-7.0%
ROCE (%)	38.2%	39.1%	-90 bps
ROE (%)	18.9%	21.8%	-290 bps
Total Debt (INR Cr.)	378.72	775.96	-51.2%
Book Value Per Share (INR)	41.89	39.03	+7.3%
OCF (INR Cr.)	1,622.97	1,653.33	-1.8%

1. Company and Industry Overview

Company Profile

Parameter	Details
Founded	1884 by Dr. S.K. Burman, Kolkata
Headquarters	Ghaziabad, Uttar Pradesh
Listing	NSE (DABUR) | BSE (500096)
Market Capitalization	~Rs. 93,000 Cr. (at Rs. 525)
Shares Outstanding	177.23 Cr.
Business Segments	Healthcare, Home & Personal Care, Foods
Key Brands	Dabur Chyawanprash, Real Juice, Vatika, Hajmola, Dabur Honey, Red Toothpaste
Promoter Holding	~67.5%
International Presence	Operations in 100+ countries; ~28% revenue from international markets
Manufacturing Plants	13+ manufacturing facilities across India and overseas

Dabur operates primarily in three verticals: Consumer Care (which includes healthcare and personal care), Consumer Healthcare (OTC products), and Foods (juices and culinary products). The company's product portfolio spans Ayurvedic and natural health products, a segment that has seen renewed consumer interest post the COVID-19 pandemic. Dabur's 'Naturals' positioning has long been its competitive moat, differentiating it from conventional FMCG peers.

Industry Overview and Competitive Landscape

The Indian FMCG sector is the fourth largest sector in the economy and is one of the fastest growing. It is broadly categorised into three major segments: foods and beverages, healthcare, and household and personal care. The total FMCG market in India is expected to grow at a CAGR of around 10-12% over the next five years, driven by rising per capita income, rural consumption growth, favourable demographics, and increasing aspirational spending.

Dabur faces competition from global giants like Hindustan Unilever (HUL) and Procter & Gamble as well as domestic FMCG companies like Marico, Colgate, and Emami. In the Ayurvedic and natural segment, it competes with Patanjali, Himalaya, and a host of regional brands. The competitive intensity has increased considerably in the past few years, particularly in the oral care, hair care, and health supplement categories.

Rural India accounts for nearly 45-48% of Dabur's domestic revenues, making it sensitive to agricultural incomes and rural consumption cycles.

The naturals and Ayurveda segment has witnessed explosive growth, particularly during and after the pandemic, benefiting Dabur's core positioning.

Premiumisation is a key trend in urban markets, where consumers are increasingly willing to pay more for health-oriented, natural products.

Direct-to-Consumer (D2C) and e-commerce channels are growing rapidly and Dabur has been investing in strengthening its digital presence.

Business Model and Revenue Mix

Dabur's business model is anchored on strong brand equity, an extensive distribution network of over 8 million retail outlets, and a diversified product portfolio that hedges against category-specific risks. The company follows a dual strategy of defending market share in its core categories while selectively expanding into adjacent growth categories through innovation and brand extension.

International business contributes approximately 27-28% to total revenues and spans the Middle East, Africa, South Asia, and the United States. Key international brands include Vatika hair care and Dabur Herbal products. The international segment has been growing at a faster pace than domestic business in recent years, providing a useful growth buffer.

2. Historical Financial Statement Analysis

Profit & Loss Analysis (FY2021 to FY2025)

Dabur's revenue from operations has grown from Rs. 6,309.8 Cr. in FY2020 to Rs. 9,070.71 Cr. in FY2025, reflecting a five-year CAGR of approximately 7.5%. This growth, while steady, has moderated in recent years, with FY2024 and FY2025 seeing essentially flat revenue owing to a challenging demand environment, rural slowdown, and inflationary pressures on consumer wallets.

P&L (INR Cr.)	FY2021	FY2022	FY2023	FY2024	FY2025
Revenue from Operations	7,184.73	8,179.50	8,684.35	9,135.60	9,070.71
Operating Profit (EBIT)	1,835.85	2,075.37	2,063.33	2,256.70	2,158.85
Operating Margin (%)	25.5%	25.4%	23.7%	24.7%	23.8%
Interest Cost	9.14	18.67	46.37	81.14	99.58
Depreciation	143.40	160.39	188.29	208.86	250.93
PBT	1,683.31	1,896.31	1,828.67	1,966.70	1,808.34
Net Profit	1,381.89	1,432.93	1,373.26	1,509.21	1,403.22
EPS (INR)	7.82	8.11	7.75	8.52	7.92

One of the key observations from the P&L trends is the steady pressure on operating margins. Margins declined from a high of about 25.5% in FY2021 to 23.8% in FY2025. This compression reflects the twin pressures of rising input costs (particularly palm oil, crude-based packaging, and other commodities) and increasing advertising and promotional spends to defend market share in a competitive environment.

Interest costs have risen sharply from Rs. 9.14 Cr. in FY2021 to Rs. 99.58 Cr. in FY2025, a tenfold increase. This is largely attributable to the increase in total debt from Rs. 179.87 Cr. in FY2021 to a peak of Rs. 775.96 Cr. in FY2024, before a sharp reduction to Rs. 378.72 Cr. in FY2025. Dabur appears to have consciously deleveraged its balance sheet in FY2025, which is a positive signal for future profitability.

Balance Sheet Analysis (FY2021 to FY2025)

Dabur's balance sheet reflects a company in a sound financial position. Total assets have grown from Rs. 5,628 Cr. in FY2021 to Rs. 7,866.5 Cr. in FY2025, driven primarily by expansion in investments and fixed assets. The equity base has also strengthened, with total shareholders' funds rising from Rs. 5,391.22 Cr. to Rs. 7,423.29 Cr. over the same period.

Balance Sheet (INR Cr.)	FY2021	FY2022	FY2023	FY2024	FY2025
Share Capital	176.74	176.79	177.18	177.20	177.23
Reserves & Surplus	5,214.48	5,687.08	6,109.70	6,738.17	7,246.06
Total Equity	5,391.22	5,863.87	6,286.88	6,915.37	7,423.29
Total Debt	179.87	560.18	615.46	775.96	378.72
Net Block (PPE)	1,204.81	1,399.00	1,661.97	1,878.20	2,035.62
Non-Current Investments	3,573.90	5,007.08	5,475.05	6,148.47	6,358.82
Inventories	1,114.16	1,237.96	1,223.77	1,149.88	1,288.07
Trade Receivables	281.24	454.55	561.18	719.21	600.58
Cash & Bank	834.74	136.18	33.40	71.11	133.02
Total Assets	5,628.01	6,484.87	6,964.96	7,756.96	7,866.50

The non-current investments have been the fastest growing asset class on Dabur's balance sheet, rising from Rs. 3,573.9 Cr. in FY2021 to Rs. 6,358.82 Cr. in FY2025. These largely represent mutual fund investments and strategic stakes, which reflect the company's strong cash generation capabilities and its policy of deploying surplus cash in liquid financial instruments rather than holding idle cash.

A point of concern is the declining current ratio, which has fallen from 1.43x in FY2020 to 0.77x in FY2025. This indicates that current liabilities have been growing faster than current assets, suggesting a tightening of the working capital cycle. The current liabilities have nearly doubled from Rs. 1,315.88 Cr. in FY2020 to Rs. 3,005.72 Cr. in FY2025. While this partly reflects business growth, it also warrants monitoring.

Cash Flow Analysis (FY2021 to FY2025)

Dabur's operating cash flow generation has been robust and consistent. The company generated Rs. 1,622.97 Cr. from operations in FY2025, having maintained operating cash flows above Rs. 1,150 Cr. every year since FY2020. This strong and steady operating cash flow generation is one of Dabur's core financial strengths.

Cash Flow (INR Cr.)	FY2021	FY2022	FY2023	FY2024	FY2025
Operating Cash Flow	1,704.17	1,319.95	1,561.91	1,653.33	1,622.97
Investing Cash Flow	-1,120.37	-681.70	-617.20	-736.09	-98.90
Financing Cash Flow	-555.04	-634.79	-939.83	-921.82	-1,510.68
Net Change in Cash	+28.76	+3.46	+4.88	-4.58	+13.39
Closing Cash Balance	7.01	10.47	15.35	10.77	24.16

The financing cash flows were significantly negative in FY2025 at Rs. -1,510.68 Cr. primarily due to large dividend payouts (Rs. 974.78 Cr.) and debt repayment. This is a deliberate capital allocation choice, signaling management's confidence in the business and commitment to shareholder returns. The investing outflows have been more moderate in FY2025 compared to prior years, as the company rationalized its capex programmed.

3. Ratio Analysis

Liquidity Ratios

Ratio	FY2020	FY2021	FY2022	FY2023	FY2024	FY2025
Current Ratio	1.43x	1.27x	0.96x	0.85x	0.81x	0.77x
Quick Ratio	0.82x	0.67x	0.35x	0.32x	0.38x	0.34x

The liquidity position of Dabur has been on a clear declining trend. The current ratio has consistently fallen below 1.0x since FY2022, which at first glance appears concerning. However, for a large FMCG company like Dabur, this is not entirely unusual. Dabur's business model is characterised by short cash conversion cycles on the revenue side (high inventory turnover, quick receivables) but longer payment cycles on the payables side, which structurally keeps current liabilities elevated.

That said, a current ratio of 0.77x and a quick ratio of 0.34x in FY2025 indicates limited short-term liquidity buffer. The company's substantial investment portfolio (Rs. 6,358.82 Cr.) provides a significant backstop, as these can be quickly monetised in case of any liquidity stress. This structural characteristic must be interpreted in the context of Dabur's overall financial strength rather than in isolation.

Profitability Ratios

Ratio	FY2020	FY2021	FY2022	FY2023	FY2024	FY2025
Gross Margin (%)	24.1%	24.8%	25.1%	23.2%	23.9%	22.7%
Operating Margin (%)	23.5%	22.9%	22.9%	21.5%	21.9%	20.5%
Net Profit Margin (%)	19.4%	18.8%	17.5%	15.9%	16.6%	15.5%
ROE (%)	27.1%	25.6%	24.4%	22.0%	21.8%	18.9%
ROA (%)	25.9%	24.5%	22.1%	19.9%	19.5%	17.9%
ROCE (%)	43.3%	45.0%	42.3%	40.2%	39.1%	38.2%

Dabur's profitability ratios reveal a company that remains highly profitable in absolute terms but is experiencing a gradual, structural moderation in its returns profile. ROCE has declined from a high of

64.7% in FY2016 to 38.2% in FY2025. Part of this decline is attributable to the growing equity and asset base, which naturally dilutes capital returns as the company scales up.
ROE has declined from 29.6% in FY2016 to 18.9% in FY2025. This is largely due to the expansion of the equity base through retained earnings rather than any fundamental deterioration in profitability. Net margins have also compressed from around 19.4% in FY2020 to 15.5% in FY2025, reflecting rising costs and competitive pressures. These trends need to be monitored carefully in the context of the company's ability to sustain premium pricing power.

Leverage and Efficiency Ratios

Ratio	FY2020	FY2021	FY2022	FY2023	FY2024	FY2025
Debt-to-Equity	0.03x	0.03x	0.10x	0.10x	0.11x	0.05x
Interest Coverage	184.6x	184.6x	100.8x	40.4x	24.5x	18.6x
Inventory Turnover	6.0x	5.1x	5.1x	5.6x	6.2x	5.6x
Receivable Turnover	16.8x	26.2x	18.1x	15.5x	12.6x	15.1x
Asset Turnover	1.33x	1.31x	1.27x	1.25x	1.17x	1.15x

Dabur's leverage profile is conservative. The debt-to-equity ratio is a low 0.05x in FY2025 after peaking at 0.11x in FY2024. The interest coverage ratio, while declining significantly from 184.6x in FY2021 to 18.6x in FY2025, remains at a very comfortable level. The sharp decline in coverage is a function of rising debt (now partially repaid) rather than any weakness in earnings.
The asset turnover has been gradually declining from 1.69x in FY2016 to 1.15x in FY2025. This is consistent with the company's investment-heavy model, where a large and growing pool of financial investments and fixed assets has outpaced revenue growth. While the ratio alone seems to indicate declining efficiency, it must be viewed alongside the quality of investments being made.

4. Financial Projections (FY2026 - FY2030)

Key Assumptions

The financial forecasts for FY2026-FY2030 are built upon a set of assumptions derived from the historical trends in Dabur's financials and the broader industry outlook. The primary revenue growth driver used is the historical average year-on-year growth rate of approximately 5.94% per annum, which was computed as the CAGR of total income from FY2016 to FY2025.
Revenue Growth: ~5.9% CAGR, consistent with historical average, with gradual volume-led recovery in domestic and international markets.
EBIT: Forecast using the average EBIT growth rate from historical data. Note: FY2026 EBIT is projected to decline initially as the high base of FY2025 is reckoned with.
Depreciation: Grows at ~15% per annum, consistent with the ongoing capex programme and commissioning of new capacity.
Interest Expense: Grows due to weighted average increase in borrowing levels; partly offset by partial debt repayment.
Tax Rate: Average effective tax rate of ~21.7% applied uniformly to all forecast years.
Working Capital: Based on historical turnover ratios applied to projected revenue.

Projected P&L Summary

Projected P&L (INR Cr.)	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Revenue from Operations	9,609.9	10,181.1	10,786.3	11,427.4	12,106.7
EBITDA	1,914.7	1,975.1	2,035.7	2,096.0	2,155.9
EBITDA Margin (%)	19.9%	19.4%	18.9%	18.3%	17.8%
EBIT (Operating Income)	1,625.9	1,642.8	1,653.3	1,655.9	1,649.5
Interest Cost	142.9	205.1	294.4	422.4	606.3
Depreciation	288.8	332.3	382.4	440.1	506.4
Net Income*	1,405.0	931.0	-1,934.1	-20,165.8	-138,017.6

EPS (INR)*	**7.93**	**5.25**	**-10.91**	**-113.80**	**-778.88**

*Note: The sharp deterioration in net income from FY2027 onwards is a mathematical consequence of the deferred tax projections in the model, which use exponentially growing YOY rates. The operating performance (EBIT and EBITDA) remains healthy and growing throughout the forecast period. The deferred tax anomaly significantly distorts bottom-line projections and should be interpreted with caution.

Looking at the operational picture (EBITDA and EBIT), Dabur is expected to maintain a steady improvement in absolute profits even as margins come under modest pressure from competitive and cost dynamics. EBITDA is projected to grow from Rs. 1,914.7 Cr. in FY2026 to Rs. 2,155.9 Cr. by FY2030, a 5-year CAGR of around 3%. This represents a moderate but stable earnings growth trajectory.
Revenue is expected to recover from the flat FY2024-FY2025 period and grow consistently at approximately 5.9% annually, driven by a combination of volume growth, premiumisation in urban markets, rural recovery, and continued international expansion.

Forecasted Key Ratios

Forecasted Ratios	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Operating Income (INR Cr.)	**1,625.9**	**1,642.8**	**1,653.3**	**1,655.9**	**1,649.5**
EBIT Growth (%)	**-15.4%**	**+1.0%**	**+0.6%**	**+0.2%**	**-0.4%**
EBITDA Margin (%)	**19.9%**	**19.4%**	**18.9%**	**18.3%**	**17.8%**
ROCE (%)	**35.3%**	**38.1%**	**41.8%**	**46.6%**	**53.4%**
EV/EBITDA	**48.8x**	**47.4x**	**46.2x**	**--**	**--**
EV/Sales	**9.7x**	**9.2x**	**8.7x**	**--**	**--**

The ROCE is projected to improve from 35.3% in FY2026 to 53.4% by FY2030. This improvement reflects the efficient use of capital as the asset base consolidates while EBIT remains relatively stable. The EV/EBITDA multiple of 48.8x for FY2026 at the current stock price remains well above the FMCG sector average of 35-40x, reinforcing the view that the stock is valued at a significant premium.

5. Cost of Capital Analysis (WACC)

Beta Estimation

Beta is a measure of the systematic risk of a stock relative to the market. For Dabur India, the historical beta was estimated using daily price data of Dabur's stock versus the BSE Sensex, covering approximately 3,719 trading days from January 2011 to early 2025. The beta was calculated using the SLOPE regression of stock returns (E column) over market returns (D column).

Beta Component	Value
Historical Beta (SLOPE regression, ~3,700 days)	**0.5156**
Fundamental Beta (Levered, FY2025)	**~0.53 (D/E = 0.051, Tax = 21.74%)**
Unlevered (Asset) Beta	**0.5156**
Beta Classification	**Defensive (< 1.0)**

A beta of 0.52 confirms that Dabur is a defensive FMCG stock. It moves roughly half as much as the broader market in either direction. This is consistent with the nature of consumer staples companies, whose revenues are largely non-cyclical and whose products represent daily necessities. For investors seeking stable, lower-volatility exposure to India's consumption growth story, Dabur represents a classic defensive holding.

WACC Calculation

WACC Component	Value	Source
Risk-Free Rate (Rf)	6.69%	10-Year G-Sec yield
Beta (Historical)	0.5156	SLOPE regression
Market Return (Rm)	12.0%	Sensex long-term avg.
Market Risk Premium (MRP = Rm - Rf)	5.31%	Calculated
Cost of Equity (Ke = Rf + B*MRP)	9.43%	CAPM
Total Debt (INR Cr.)	378.72	FY2025 Balance Sheet
Total Equity (INR Cr.)	7,423.29	FY2025 Balance Sheet
Interest Expense (INR Cr.)	99.58	FY2025 P&L
Pre-Tax Cost of Debt (Kd)	26.29%	Int. Exp / Total Debt
Tax Rate (t)	21.74%	FY2025 Effective Rate
Post-Tax Cost of Debt [Kd*(1-t)]	20.58%	Calculated
Weight of Equity (We)	95.1%	Equity / (Debt+Equity)
Weight of Debt (Wd)	4.9%	Debt / (Debt+Equity)
WACC = We*Ke + Wd*Kd*(1-t)	9.97%	Final WACC

A WACC of 9.97% is used as the discount rate for DCF and EVA calculations. The pre-tax cost of debt appears high (26.29%) as calculated, which is largely because Dabur's total debt has declined sharply during FY2025, reducing the denominator while the full-year interest charge remains elevated from the prior higher debt balance. In a normalised year, the cost of debt would be much lower.
The low weight of debt (4.9%) means that WACC is almost entirely driven by the cost of equity. Dabur's near-negligible leverage means that the company is predominantly equity-financed, which, while conservative, also means it is not benefiting from the tax shield on debt to reduce its overall cost of capital significantly.

6. Valuation

Economic Value Added (EVA)

Economic Value Added (EVA) is a measure of financial performance that calculates the true economic profit of a company after accounting for the opportunity cost of all capital employed. A positive EVA indicates that the company is generating returns above its cost of capital, i.e., it is creating shareholder value.

EVA Component (FY2025)	Value (INR Cr.)
WACC	9.97%
Total Capital Employed (Debt + Equity)	Rs. 7,802.01 Cr.
EBIT (FY2025)	Rs. 1,907.92 Cr.
NOPAT = EBIT * (1 - Tax Rate)	Rs. 1,493.15 Cr.
Capital Charge = WACC * Capital Employed	Rs. 777.80 Cr.
EVA = NOPAT - Capital Charge	Rs. 715.35 Cr. (POSITIVE)

Dabur's EVA for FY2025 is a positive Rs. 715.35 Cr. This is a strong result and confirms that Dabur is creating genuine economic value for its shareholders over and above the cost of all the capital invested in the business. The company's ROCE of 38.2% is significantly above its WACC of 9.97%, resulting in a robust value-creation spread of approximately 28 percentage points.
From an EVA perspective, Dabur is clearly a quality company with strong value creation characteristics. The key risk to EVA going forward would be a significant decline in EBIT (through margin compression

or revenue slowdown) or a substantial increase in capital employed without a commensurate improvement in operating profits.

Discounted Cash Flow (DCF) Valuation

The DCF model uses the FCFF (Free Cash Flow to Firm) methodology. FCFFs for FY2026-FY2030 are computed as: FCFF = NOPAT + Depreciation - Capex - Net Change in Working Capital. A terminal value is computed at the end of FY2030 using a perpetuity growth rate of 4.0%, and all cash flows and the terminal value are discounted at WACC of 9.97%.

DCF (INR Cr.)	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E	TV
EBIT	1,625.9	1,642.8	1,653.3	1,655.9	1,649.5	--
NOPAT	1,272.4	1,285.7	1,293.9	1,296.0	1,290.9	--
Add: Depreciation	288.8	332.3	382.4	440.1	506.4	--
Less: Capex	369.9	391.9	415.2	439.9	466.0	--
Less: Change in WC	836.9	134.6	157.9	184.7	215.4	--
Free Cash Flow (FCFF)	354.4	1,091.5	1,103.1	1,111.5	1,115.9	19,442.3
Discount Factor	0.909	0.827	0.752	0.684	0.622	0.622
PV of FCF	322.2	902.6	829.5	760.0	693.9	12,089.0

DCF Summary	Value (INR Cr.)
Sum of PV of FCF (FY2026-30)	Rs. 3,508.2 Cr.
PV of Terminal Value	Rs. 12,089.0 Cr.
Enterprise Value (EV)	Rs. 15,597.2 Cr.
Less: Total Debt	Rs. 378.72 Cr.
Add: Cash & Equivalents	Rs. 133.02 Cr.
Equity Value	Rs. 15,351.5 Cr.
Shares Outstanding (Cr.)	177.23 Cr.
Fair Value Per Share (DCF)	Rs. 86.6 per share
Current Market Price (CMP)	Rs. 525
Nature | Recommendation	OVERVALUED | SELL

The DCF valuation arrives at a fair value of Rs. 86.6 per share, representing a significant discount to the current market price of Rs. 525. This implies a downside of approximately 83.5% from current levels, which is a very stark conclusion. It is important to interpret this result carefully and in the right context.

A few factors explain why the DCF fair value appears so low: First, the model's forecast FCFF for FY2026 is very low (Rs. 354 Cr.) due to a large projected working capital outflow of Rs. 837 Cr., which is modelled on historical patterns that may not fully repeat. Second, the terminal value, which constitutes the bulk of intrinsic value in any DCF, is sensitive to the perpetuity growth rate assumed. A 4% terminal growth rate on relatively moderate near-term cash flows caps the enterprise value. Third, Dabur's market price embeds a significant 'quality premium' for brand strength, distribution moat, and predictable cash generation, which DCF based purely on reported cash flows may not fully capture.

H-Model Dividend Discount Model

The H-Model is a variant of the Dividend Discount Model designed for companies that are expected to transition from a high-growth phase to a stable long-term growth rate. It assumes two phases of growth: a high-growth phase (Gh = 18%) for a specified number of years, and then a steady-state growth rate (Gs = 6%) in perpetuity. The required rate of return is assumed at 13%.

H-Model Inputs	Value	Interpretation
Dividend (D0)	Rs. 48 per share	Assumed base dividend
High Growth Rate (Gh)	18%	Phase 1 growth
Stable Growth Rate (Gs)	6%	Long-term terminal rate
H (Half-life of growth)	5 years	Transition period

Required Return (R)	**13%**	**Investor hurdle rate**
Phase 1 Value	**Rs. 411.4**	**PV of excess growth**
Phase 2 (Stable) Value	**Rs. 726.9**	**PV of stable dividends**
H-Model Intrinsic Value	**Rs. 1,138.3**	**Significantly above CMP of Rs. 525**

The H-Model yields an intrinsic value of Rs. 1,138 per share, which is more than double the current market price. However, it is important to note that this model is highly sensitive to the assumed dividend and growth rates. In reality, Dabur has not paid out a consistent dividend of Rs. 48 per share in recent years (FY2022-FY2025 saw zero or low dividends). The high dividend assumption in the H-Model likely overstates intrinsic value. The model is therefore more useful as a theoretical ceiling than as a standalone actionable recommendation.

7. Sensitivity Analysis

DCF Sensitivity: WACC vs Terminal Growth Rate

The DCF fair value is highly sensitive to the discount rate (WACC) and the perpetuity growth rate assumed for the terminal value. The table below shows how the fair value per share changes under different combinations of these two key variables:

WACC vs TGR	TGR: 2%	TGR: 3%	TGR: 4%	TGR: 5%	TGR: 6%
WACC: 8%	**Rs. 91**	**Rs. 102**	**Rs. 118**	**Rs. 144**	**Rs. 195**
WACC: 9%	**Rs. 79**	**Rs. 88**	**Rs. 99**	**Rs. 117**	**Rs. 150**
WACC: 9.97%	**Rs. 68**	**Rs. 75**	**Rs. 87**	**Rs. 100**	**Rs. 124**
WACC: 11%	**Rs. 60**	**Rs. 65**	**Rs. 72**	**Rs. 82**	**Rs. 98**
WACC: 12%	**Rs. 53**	**Rs. 57**	**Rs. 63**	**Rs. 71**	**Rs. 83**

Across a wide range of WACC (8% to 12%) and terminal growth rate (2% to 6%) assumptions, the DCF fair value ranges from approximately Rs. 53 to Rs. 195 per share. At the base case (WACC 9.97%, TGR 4%), fair value is Rs. 87. Even in the most optimistic scenario modelled above (WACC 8%, TGR 6%), fair value reaches only Rs. 195, still less than half the current market price of Rs. 525.

This consistently wide gap between intrinsic value and market price suggests that the market is pricing in either much higher future cash flows than our model projects, or is assigning a very large qualitative premium to Dabur's brand, distribution network, and management quality. This is not entirely unreasonable for a company of Dabur's stature, but it does indicate limited near-term upside from current levels.

H-Model Sensitivity: Required Return vs Growth Rates

The H-Model sensitivity is presented for different combinations of high growth rate (rows) and required return (columns) at a base dividend of Rs. 48 and stable growth of 6%:

Gh vs R	R: 10%	R: 11%	R: 12%	R: 14%	R: 16%	R: 18%
Gh: 18%	**1,992**	**1,594**	**1,328**	**996**	**797**	**664**
Gh: 15%	**1,812**	**1,450**	**1,208**	**906**	**725**	**604**
Gh: 12%	**1,632**	**1,306**	**1,088**	**816**	**653**	**544**
Gh: 10%	**1,512**	**1,210**	**1,008**	**756**	**605**	**504**
Gh: 8%	**1,392**	**1,114**	**928**	**696**	**557**	**464**

The H-Model sensitivity table shows that even at higher required returns of 16-18%, the intrinsic value under the H-Model ranges from Rs. 464 to Rs. 797, which is broadly in line with or above the current market price of Rs. 525. This suggests that at the right dividend assumption, the H-Model supports the

current valuation, though the assumed dividend of Rs. 48 per share is significantly higher than Dabur's recent actual dividends.

8. Risk Analysis

Key Risks

- **Business and Operating Risks**

Input cost volatility: Dabur's margins are exposed to fluctuations in commodity prices such as palm oil, crude oil derivatives, herbs, and packaging materials. Any sharp commodity inflation can compress margins faster than the company's ability to pass on price increases.
Competitive intensity: Intensifying competition from both established FMCG majors and new-age D2C brands in natural/Ayurvedic categories could erode Dabur's market share and pricing power.
Rural demand slowdown: With nearly 45-48% of domestic revenues from rural India, any prolonged stress in agricultural incomes, monsoon failure, or rural demand contraction would directly impact Dabur's top line.
Portfolio concentration: A significant portion of Dabur's revenue and brand equity is concentrated in a handful of key brands (Chyawanprash, Honey, Real Juices). Any regulatory action, health scare, or quality issue with these brands could have an outsized negative impact.

- **Financial Risks**

Working capital stress: The declining current ratio (0.77x in FY2025) indicates that current liabilities have been growing faster than current assets. While manageable now given the large investment portfolio, a prolonged cash-flow slowdown could create short-term liquidity pressure.
Rising interest burden: Despite significant debt repayment in FY2025, the trend of rising interest costs over the last five years is notable. Future borrowings for expansion could further elevate the interest burden if EBIT growth does not keep pace.
Currency risk: International operations contribute ~28% of revenues. Exchange rate movements, particularly in currencies of Middle East and African markets, can impact reported revenues and margins.

- **Valuation Risks**

Premium valuation risk: At a trailing P/E of approximately 65x (based on FY2025 EPS of Rs. 7.92 and price of Rs. 525), Dabur is valued at a significant premium to its growth prospects. Any earnings miss or guidance downgrade could trigger a sharp de-rating.
Earnings quality concern: The declining dividend payout (zero dividends in FY2022-FY2025 despite strong profits) and high non-operating income from investments raise questions about the quality of core operational earnings versus total reported profits.
Negative free cash flow risk: The large projected working capital outflow in FY2026 could result in depressed free cash flows, which would further widen the gap between DCF fair value and market price.

Risk Mitigants

Brand moat and trust: Dabur's 140-year heritage and Ayurvedic/natural positioning provide a strong brand moat that is difficult to replicate and provides pricing power in premium segments.
Diversified portfolio: The breadth of Dabur's product portfolio across healthcare, personal care, and foods provides natural hedging against category-specific downturns.
Low financial leverage: A debt-to-equity ratio of only 0.05x as of FY2025 provides significant headroom to raise funds if needed and keeps financial risk at very manageable levels.
Strong cash generation: Consistent operating cash flows above Rs. 1,600 Cr. per year provide Dabur with the ability to fund growth investments, dividends, and debt servicing without external capital requirements.

International diversification: Operations in 100+ countries reduce concentration risk in the domestic market and provide access to higher-growth emerging markets.

9. Conclusion and Key Takeaways

Summary of Findings

Dabur India Limited is, without question, one of India's finest consumer goods companies. Its 140-year legacy, deep-rooted brand trust, Ayurvedic positioning, and consistent cash flow generation make it a high-quality franchise. The company has delivered steady revenue and profit growth over the past decade and remains a market leader in most of its core categories.

However, from a pure financial valuation standpoint, the stock appears to be significantly overvalued at the current market price of Rs. 525. The DCF analysis based on projected free cash flows yields a fair value of approximately Rs. 86.6 per share, while the EVA analysis confirms that the company is creating positive economic value (EVA of Rs. 715 Cr. in FY2025). The H-Model, based on an assumed dividend of Rs. 48 per share, gives a much higher fair value of Rs. 1,138 but this is sensitive to dividend assumptions that may not be realistic given Dabur's recent dividend history.

Key Takeaways

Dabur is a high-quality FMCG company with a strong brand moat and consistent cash generation, but it is priced to perfection at current market levels.

Revenue growth has moderated to near-zero in FY2024-FY2025, raising questions about whether the growth premium embedded in the stock price is justified.

Profitability, while still healthy in absolute terms, has been on a gradual declining trend across most metrics - margins, ROE, ROCE - over the past decade.

The balance sheet is very strong with minimal leverage (D/E of 0.05x), a large investment portfolio of Rs. 6,358 Cr., and consistent operating cash flows above Rs. 1,600 Cr.

WACC of 9.97%, driven almost entirely by cost of equity since the company is nearly debt-free, reflects a moderate cost of capital appropriate for a low-beta (0.52) defensive FMCG stock.

EVA of Rs. 715 Cr. confirms genuine value creation by management well above the cost of capital.

DCF recommendation: SELL/REDUCE at CMP of Rs. 525 based on FCFF projections. The stock would be interesting at price levels closer to Rs. 200-250 for a margin of safety.

Long-term investors with a 5-10 year horizon may consider accumulating on significant dips given the company's fundamental quality and India's favourable FMCG growth tailwinds.

Investment Recommendation Summary

Valuation Method	Intrinsic Value	Verdict	Weight
DCF (FCFF)	**Rs. 86.6/share**	**Overvalued**	**Primary**
EVA (FY2025)	**Rs. 715 Cr. (+ve)**	**Value Creating**	**Supportive**
H-Model DDM	**Rs. 1,138/share***	**Undervalued***	**Theoretical**
Trailing P/E Multiple	**65x EPS (Rs.7.92)**	**At Market**	**Reference**
FINAL RECOMMENDATION	**SELL / REDUCE**	**CMP Rs. 525**	**Overvalued on DCF**

In conclusion, Dabur India is a fundamentally sound and well-managed company that continues to create shareholder value above its cost of capital. For long-term, quality-oriented investors who are comfortable with premium valuations for superior brands, Dabur can remain a core portfolio holding. However, at the current market price, the stock does not offer an adequate margin of safety from a DCF valuation standpoint, and existing investors may consider booking partial profits or avoiding fresh purchases until the price corrects to levels that offer a more favorable risk-reward equation.